

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S MOTION FOR PROTECTIVE ORDER

COMES NOW, Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, and pursuant to the Federal Maritime Commission's ("FMC") Rules of Practice and Procedure 46 C.F.R. § 502.141(j), hereby moves for a Protective Order with respect to the Notice of Deposition of Flexport's corporate representative(s) issued by Complainant. In support thereof, Flexport states as follows:

BACKGROUND

It is with great reluctance that Flexport must again bring matter of discovery before the Commission. Flexport had previously filed a motion to compel which is pending due to Peloton's failure to response to discovery and their assertion of frivolous objections to every request for production and interrogatory. Flexport also had to assert objections to Peloton's written discovery requests because same were incredibly overbroad, referenced a time frame dating back to 2018 (which is 2 years before the first shipment at issue in this matter) and sought proprietary

information which had no bearing in any claims in this litigation. Peloton filed a motion to compel, which is also pending. But, notably, Peloton acknowledged and agreed with several of Flexport's objections to discovery and did not include the related requests and interrogatories in its motion.

Now, Peloton has again sought to obtain a broad range of irrelevant information from Flexport's corporate representative. Peloton served the attached Notice of Deposition of Flexport's corporate representative(s) to testify as to 21 areas of inquiry.¹ The vast majority of areas of inquiry set forth in Schedule A of the Notice are merely mirror images of the written discovery propounded by Peloton.

LEGAL STANDARD

Rule 26 (and likewise Rule 502.141) permits discovery regarding “any nonprivileged matter that is relevant to any party's claim or defense and proportional to the needs of the case, considering the importance of the issues at stake in the action, the amount in controversy, the parties’ relative access to relevant information, the parties’ resources, the importance of the discovery in resolving the issues, and whether the burden or expense of the proposed discovery outweighs its likely benefit.” Fed. R. Civ. P. 26(b)(1). The rule directs a court to “limit the frequency or extent of discovery” if it determines that “the proposed discovery is outside the scope permitted by Rule 26(b)(1).” Fed. R. Civ. P. 26(b)(2)(C). Rule 26 “confers broad discretion on the trial court to decide when a protective order is appropriate and what degree of protection is required.” *U.S. Commodity Futures Trading Comm'n v. Parnon Energy Inc.*, 593 F. App'x 32, 36 (2d Cir. 2014) (quoting *Seattle Times Co. v. Rhinehart*, 467 U.S. 20, 36 (1984)). This includes imposing limits on a deposition notice pursuant to Federal Rule of Civil Procedure 30(b)(6). *See Blackrock Allocation Target Shares: Series S Portfolio v. Wells Fargo Bank, Nat'l*

¹ Although the Notice of Deposition was served late at night on Friday, February 28, 2025, the parties had agreed to hold off on dispositions under after their mediation.

Ass'n, No. 14-CV-09371 (KPF) (SN), 2017 WL 9400671, at *1 (S.D.N.Y. Apr. 27, 2017) (“Like other forms of discovery, a Rule 30(b)(6) deposition notice is subject to the limitations under Federal Rule 26—deposition topics should be proportional to the needs of the case, not unduly burdensome or duplicative, and described with ‘reasonable particularity.’ ” (quoting Fed. R. Civ. P. 30(b)(6))).

Like other forms of discovery, a Rule 30(b)(6) (and Rule 502.143(b)(6) deposition notice is subject to the limitations under Federal Rule 26—deposition topics should be proportional to the needs of the case, not unduly burdensome or duplicative, and described with “reasonable particularity.” Fed. R. Civ. P. 30(6)(b); *see also Dealer Computer Servs. v. Curry*, 2013 WL 499520, at *2, (S.D.N.Y. Feb. 7, 2013).

In light of the burden placed on the corporate deponent the Rule preliminarily imposes a duty to identify with reasonable particularity the specific categories or topics for inquiry. *Id.* This enables the corporate entity to fulfill its obligations to choose and prepare a deponent: “For Rule 30(b)(6) to effectively function, the requesting party must take care to designate, with painstaking specificity, the particular subject areas that are intended to be questioned, and that are relevant to the issues in dispute. Otherwise, an overly broad Rule 30(b)(6) notice may subject the noticed party to an impossible task. If the noticed organization cannot identify the outer limits of the areas of inquiry noticed, compliant designation is not feasible.” *Pauls v. Prudential Ins. Co. of Am.*, 2016 WL 6397564, at *4 (N.D. Tex. Oct. 28, 2016). Courts have not hesitated to issue protective orders when an entity is asked to respond to overly broad or unfocused Rule 30(b)(6) deposition notices, rejecting the assertion that the rule authorizes “burdening the responding party with production and preparation of a witness on every facet of the litigation.” *Lipari v. U.S. Bancorp*, 2008 WL

4642618, at *6 (D. Kan. Oct. 16, 2008); *Apple, Inc. v. Samsung Elecs. Co., Ltd.*, 2012 WL 1511901, at *2 (N.D. Cal. Jan. 27, 2012).

DISCUSSION

For ease of reference, Flexport attaches hereto its Objections to the Notice of Deposition, which provide in detail the bases of its objection as to each applicable area of inquiry. Flexport refers to the objections and incorporates them herein.

Flexport also included General Objections – but only because Peloton, in its Notice, incorporated the definitions of terms used in its written discovery. As such, Flexport reiterates its objections to such definitions.

Flexport would highlight the following.

First, eight (8) of the areas of inquiry provide a time frame of 2018 to the present. Yet, the only shipments or invoices for which Peloton seeks reparations were between 2020 and 2022. As such, there is absolutely no basis for Flexport to prepare its corporate representative to testify as to such an expanded time frame. This would be unduly burdensome, have no relevance to the issues in this case, and would not be proportionate to the needs in this matter.

Second, several areas of inquiry seek proprietary information as to Flexport’s underlying service providers, including motor and ocean carriers. Peloton seeks not only the contracts themselves, but the negotiation of same and the amounts paid to such providers. As set forth in Flexport’s response to Peloton’s motion to compel, such information is not only proprietary but have no relation to any claims in this litigation – regarding amounts billed by Flexport to Peloton.

Third, several areas of inquiry have absolutely nothing to do with this matter. For example, Topic # 9 seeks information regarding “Flexport’s revenue for D&D in connection with the import of containers in the U.S. from 2018 to the present.” This also has nothing to do with Peloton.

Likewise, Topic # 8 seeks testimony regarding “Flexport’s costs for providing Inland Transportation in connection with the import of Containers in the U.S. from 2018 to present.” This has nothing to do with Peloton’s shipments at all. Further, Flexport’s provision of inland transportation would not even implicate the jurisdiction of the Commission at all.

Finally, Peloton seeks information which Flexport had previously objected and for which Peloton agreed with Flexport’s position. Specifically, Peloton is now seeking information regarding claims and resolution of claims from 2018 to the present (Topic # 20) and information regarding Flexport’s information technology systems (Topic # 21).

The specific objections are set forth in the attached and are, for the most part, self-explanatory.

In short, Peloton seeks an incredibly broad range of irrelevant discovery for an unexplained time period. Producing a witness to testify as to the areas of inquiry would be incredibly time consuming and a waste of time.

CONCLUSION

Based upon the foregoing, Flexport respectfully requests the issuance of a protective order to narrow the deposition of Flexport’s corporate representative consistent with the objections raised herein.

CERTIFICATION OF CONFERENCE

On March 19, 2025, the undersigned sent its objections to the Notice to counsel for Peloton and requested a meet and confer as to same. Since the undersigned and counsel were engaged in a deposition the following day, the undersigned suggested that we take some time to confer during lunch or after the deposition.

During lunch, the undersigned emailed counsel for Peloton requesting a meet and confer, but did not receive a response.

The deposition ended at approximately 3:30 but the undersigned still had not received a response. At 5:50 pm, counsel for Peloton advised that she would not be available to speak until after the deposition on March 21, which should end Friday evening. The undersigned immediately responded that he was available to speak today and this needs to be resolved urgently – given that the deposition is set to take place in a week. The undersigned did not receive a response and attempted to call counsel but with no success. Then, at 6:49 pm, counsel for Peloton responded by email that she had not reviewed the objections and demanded that we note herein that Flexport is taking the deposition of David Baitman at 10 am tomorrow. Counsel for Peloton also advised that she was proceeding with the deposition of non-party Nick Peckham – also tomorrow – despite having agreed to take his deposition on March 28, 2025. As such, although counsel for Peloton was clearly available to discuss, and despite her multiple prior representations that there were several attorneys handling this case, she decided to vindictively move the deposition of a non-party (who has not been served) to tomorrow morning.

Dated: March 20, 2025

Respectfully submitted,

SPECTOR RUBIN, P.A.

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***Counsel for Respondent,
Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on March 20, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.